

Description & Eligibility

Interpret and analyze sole proprietorships, partnerships, and corporate financial accounting data. Any postsecondary division contestant may enter this application event. Contestant may *not* enter College Accounting and Advanced College Accounting in the same year.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application.
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. **Violation of this rule will result in disqualification.**
- Length of event: no more than ten (10) minutes for orientation, no more than ninety (90) minutes for testing, and no more than ten (10) minutes for wrap-up.
- Entries vary by state.

Contest Competencies

- Complete and explain the purpose of the various steps in the accounting cycle
- Apply generally accepted accounting principles (GAAP) to determine the value of assets, liabilities, and owner's equity
- Prepare, interpret, and analyze financial statements for service and merchandising businesses
- Determine and record uncollectible accounts receivable
- Calculate periodic and perpetual inventories using common methods
- Record adjusting entries for accruals, depreciation, prepaids and deferrals
- Disposal of fixed assets and systematic depreciation, depletion, and amortization of long-term assets
- Analyze and record equity transactions for various forms of business ownership and record
- Generate interim and end-of-period financial statements, reports, and schedules
- Analyze financial statements through ratio and other measurement procedures
- Apply accounting concepts for sole proprietorships, partnerships, and corporations
- Determine interest and maturity value of long-term liabilities
- Calculate bond values and journal entries using the straight-line and/or effective-interest methods
- Record purchases and sales of merchandise under the gross and net methods

This event is sponsored by

